



Problem Statement 4: Simplifying IPO Offer Document Preparation for SMEs

Problem

Small and Medium Enterprises (SMEs) are a critical engine of economic growth, yet their participation in public capital markets remains limited. A significant barrier to SME listings on the SME Exchange platform is the complexity and cost of preparing an IPO offer document. The process demands extensive involvement of merchant bankers, legal counsel, and compliance professionals often spanning several months and incurring costs that are disproportionate to the size of the capital being raised. SME promoters, typically operating with lean teams and limited exposure to capital market requirements, find it difficult to navigate the disclosure framework independently, making them heavily reliant on intermediaries from the very outset.

SEBI recognises that simplifying the offer document preparation process is essential to deepening SME participation in the capital markets. Despite efforts to streamline listing requirements for SMEs, the drafting of a compliant offer document remains a time-intensive and resource-heavy exercise. There is a need for an innovative solution that allows SME issuers to capture their business, financial, and legal particulars and generate a well-organised, disclosure-ready draft offer document. The solution must be accessible to promoters without specialist knowledge, maintain appropriate checks for accuracy and completeness, and preserve the role of authorised intermediaries in review and certification before any regulatory submission.

Desired outcome

Participants are invited to develop a solution that enables an SME promoter to generate a substantially complete draft IPO offer document - significantly reducing preparation time, lowering dependence on intermediaries at the early drafting stage, and making the path to public listing more accessible for smaller enterprises. The solution should produce a well-structured draft covering all material disclosure requirements under SEBI's SME IPO framework, flag gaps or inconsistencies in the information provided, and be simple enough for a first-time issuer to engage with - ultimately broadening the pipeline of SMEs that can confidently pursue a public listing.